

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **The Trump administration** canceled a slate of interviews set to start this week with a group of finalists to be the next Fed chair as Trump again suggested he had made up his mind about who should lead the central bank. **A1**
- ◆ **OpenAI Chief Executive** Sam Altman told employees that the company was declaring a “code red” to improve the quality of ChatGPT and would delay other products as a result. **A1**
- ◆ **Amazon Web Services** publicized the launch of its Trainium3 custom artificial-intelligence chip, which it says is four times as fast as its previous generation of AI chips. **B1, B4**
- ◆ **Investors again taking** on risk helped to lift major U.S. stock indexes, boosting the S&P 500, Nasdaq and Dow industrials by 0.2%, 0.6% and 0.4%, respectively. **B12**
- ◆ **Shares of Bayer rose** 12% after Solicitor General John Sauer supported the company’s push for the Supreme Court to take up its Roundup weedkiller case. **B1**
- ◆ **Saudi Arabia’s** government investment fund was poised to take almost full ownership of Electronic Arts, leading a consortium that includes Silver Lake and Affinity. **B1**
- ◆ **The U.S. and global** economies are set to slow next year as higher tariffs take full effect, but could grow more strongly than expected if the AI investment boom broadens, the OECD said. **A2**
- ◆ **Nike said it is creating** a new role of chief operating officer and naming the heads of its four geographic regions to its senior leadership team. **B3**

World-Wide

- ◆ **Defense Secretary** Pete Hegseth said in a cabinet meeting that he didn’t order a commander to carry out a second strike on an alleged drug boat that destroyed the vessel and killed two survivors, though he defended the officer’s actions. **A1**
- ◆ **A meeting at the** Kremlin between Putin and U.S. envoys Steve Witkoff and Jared Kushner ended without reaching an agreement to end the war in Ukraine, but the talks were constructive, a senior Russian official said. **A1**
- ◆ **Trump disparaged** immigrants from Somalia, saying he didn’t want them in the U.S. ahead of an expected federal operation against Somalis in Minneapolis. **A3**
- ◆ **Larry Summers** was banned for life by the American Economics Association after revelations about his ties to Jeffrey Epstein. **A2**
- ◆ **The man accused** of shooting two National Guard members near the White House pleaded not guilty to first-degree murder and gun charges. **A3**
- ◆ **Former Honduran** President Juan Orlando Hernández, convicted of helping to smuggle cocaine into the U.S., left prison after Trump pardoned him. **A7**
- ◆ **GOP candidate** Matt Van Epps defeated Democrat Aftyn Behn to fill the vacant House seat in a Nashville-area district, after Republicans mounted an 11th-hour effort to shore up turnout. **A4**
- ◆ **Michael and Susan Dell** will donate \$6.25 billion to expand a new government program that will provide savings accounts for U.S. children. **A4**

CONTENTS	Opinion..... A13-15
Arts in Review..... A12	Personal Journal A10-11
Business & Finance B2-3	Property Report... B6
Business News..... B7	Sports..... A16
Crossword..... A11	Technology..... B4
Heard on Street..... B13	U.S. News..... A2-4,6
Markets..... B12	World News..... A7-9



From left, Russia’s Kirill Dmitriev, gesturing, and U.S. envoys Jared Kushner and Steve Witkoff in Moscow on Tuesday.

U.S. Envoys, Putin Discuss Groundwork for Ending War

Russian president threatens Europe before Kremlin meeting on Ukraine

By MATTHEW LUXMOORE AND ROBBIE GRAMER

A five-hour meeting at the Kremlin between Russian President Vladimir Putin and U.S. envoys Steve Witkoff and Jared Kushner concluded Tuesday without reaching an agreement to end the war, but the talks were “useful” and “constructive,” said a senior Russian official.

The official, Kremlin foreign-policy aide Yuri Ushakov,

who attended the meeting, said territory was one of the most important issues for Moscow, but the sides hadn’t been able to reach a compromise yet.

“Some American groundwork looks more or less acceptable, though it needs to be discussed,” Ushakov said. “Some wording that was proposed does not suit us. That is, the work will continue.”

Territory has emerged as one of the main stumbling blocks to a deal. Russia has demanded that Ukraine cede all of its eastern region of the Donbas. Ukrainian President Volodymyr Zelensky has rejected surrendering territory that Russia hasn’t taken in nearly four years of fighting.

Ahead of the meeting Tuesday, Putin accused European leaders of trying to sabotage peace efforts, calling recent proposed changes to a U.S. peace plan for Ukraine “absolutely unacceptable.” He said Russia was prepared to fight a war with Europe if attacked.

“We do not plan to fight Europe, I’ve already said it a hundred times. But if Europe wants to fight us, and starts it, then we’re ready right now,” Putin said at an investment forum in Moscow, when asked about Europe’s defensive buildup.

The remarks represented some of Putin’s most pointed criticism of Europe as he seeks to fuel divisions in the trans-

Atlantic alliance.

The U.S.-led peace process has unnerved close European allies following the leak of a draft peace proposal last month that appeared to heavily favor Russia.

A senior North Atlantic Treaty Organization official dismissed Putin’s comments about Europe, saying that the alliance is united. Russia doesn’t have the troop numbers or military capability to defeat NATO in Europe, the official said.

Photos released by Russian state media showed Witkoff and Kushner meeting with Putin.

◆ Kyiv hits Moscow’s shadow fleet..... A8

Hegseth Has Long Sought New Rules For War

Defense secretary endeared himself to Trump by backing conduct of troops

WASHINGTON—Pete Hegseth built a national profile defending troops accused of violating the laws of armed conflict, a trait that won over President Trump in his first term and put him atop the Pentagon in his second.

By Michael R. Gordon, Alexander Ward and Vera Bergengruen

But the 45-year-old defense secretary who has complained about “stupid rules of engagement” is now at the center of a major Washington debate about whether a September strike against a suspected drug boat in the Caribbean amounts to a war crime, testing Hegseth’s standing with lawmakers and his leadership of the military.

The controversy was a long time coming.

In books and on television, Hegseth argued for years that U.S. military leaders should relax rules for American forces, allowing them to fight unburdened by concerns of future courts-martial. More freedom to operate, he insisted, and less regulation by military lawyers would make troops more lethal and effective, and could be justified under the laws of war.

“Maximum lethality, not tepid legality. Violent effect, not politically correct,” Hegseth said in September during the rebrand of the Defense Department.

Please turn to page A4

OpenAI’s Altman Declares ChatGPT ‘Code Red’

By BERBER JIN

OpenAI Chief Executive Sam Altman told employees that the company was declaring a “code red” effort to improve the quality of ChatGPT and delaying other products as a result, according to an internal memo viewed by The Wall Street Journal.

Altman on Monday said OpenAI had more work to do on the day-to-day experience of its chatbot, including improving personalization features for users, increasing its speed and reliability, and allowing it to answer a wider range of questions.

The companywide memo is the most decisive indication yet of the pressure OpenAI is facing from rivals that have narrowed the startup’s lead in the AI race. Of particular concern to Altman is Google, which released a new version of its Gemini AI model in November that surpassed OpenAI on industry benchmark tests and sent shares of the search giant’s parent soaring.

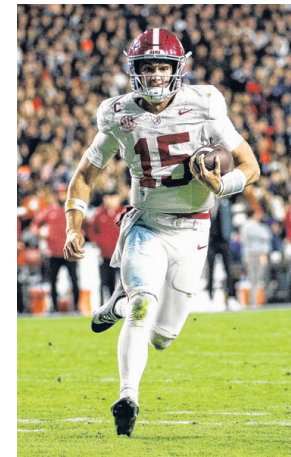
Gemini’s user base has been climbing since the August release of an image generator, Nano Banana, and Google said monthly active users grew from 450 million in July to 650 million in October. OpenAI is also facing pressure from Anthropic, which is becoming popular among business customers.

With OpenAI committed to hundreds of billions of dollars in future data-center investments, concerns about its timeline for turning those investments into meaningful

Please turn to page A6



PERSONAL JOURNAL
More teenagers are trying their hand at building stock portfolios. **A10**



SPORTS
Alabama’s quarterback has been getting ready for his moment since he was a child. **A16**

San Francisco’s Buzziest Social-Media Star: Its Mayor

* * *

Daniel Lurie has amassed a following with his boosterism. Not everyone is a fan.

By JIM CARLTON

SAN FRANCISCO—Mayor Daniel Lurie strode into Alushe Coffee Bar and asked the surprised couple behind the counter for two things: a cup of joe and if they could say a few words into his iPhone.

“Tell everybody about the specialties,” the mayor said to Jessica and Marcos Moo, who smiled shyly as he started recording. “We specialize in craft lattes...we have breakfast burritos,” Marcos said, with the beaming mayor chiming in “Oh boy!”

Within a few minutes, the caffeinated mayor and his entourage were off to their next stop, leaving the couple in a happy daze. “It was a really

nice surprise,” said Jessica, 42. “I wish I had done my hair though!”

Since taking office in January, Lurie’s Instagram feed chronicling this city and its turnaround has soared from under 20,000 to more than 180,000 followers with 21 million monthly views. He’s firing away on TikTok, too, to 33,000 followers.

The 47-year-old Levi Strauss heir has become ubiquitous on the city’s social-media scene.

He posts musings every day from his wanderings around San Francisco, some on somber topics like ongoing drug

Please turn to page A11

Trump Narrows Pick For Fed Job to ‘One’

By BRIAN SCHWARTZ AND NICK TIMIRAOIS

WASHINGTON—The Trump administration canceled a slate of interviews set to start this week with a group of finalists to be the next chair of the Federal Reserve as President Trump said he had made up his mind about who should lead the central bank.

Trump’s team informed candidates that interviews scheduled for Wednesday with Vice President JD Vance had been canceled, according to people familiar with the matter. No reason was given for the decision. A person familiar with the matter said

the cancellation happened because of a scheduling conflict for the vice president. The person said it wasn’t clear if the meetings would be rescheduled.

Longtime Trump economic adviser Kevin Hassett, who is considered the front-runner, was among those expected to meet with Vance and White House officials about the job, a person close to him said. Other finalists for the job include former Fed governor Kevin Warsh and sitting Fed governor Christopher Waller.

A Vance spokesman didn’t respond to a request for comment. “The truth is nobody

Please turn to page A2

Green Energy Push In Europe Backfires

Industry is hobbled, political consensus is cracking thanks to soaring prices

By TOM FAIRLESS AND MAX COLCHESTER

European politicians pitched the continent’s green transition to voters as a win-win: Citizens would benefit from green jobs and cheap, abundant solar and wind energy alongside a sharp reduction in carbon emissions.

Nearly two decades on, the promise has largely proved costly for consumers and damaging for the economy.

Europe has succeeded in slashing carbon emissions more than any other region—by 30% from 2005 levels, compared with a 17% drop for the U.S. But along the way, the rush to renew-

ables has helped drive up electricity prices in much of the continent.

Germany now has the highest domestic electricity prices in the developed world, while the U.K. has the highest industrial electricity rates, according to a basket of 28 major economies analyzed by the International Energy Agency. Italy isn’t far behind. Average electricity prices for heavy industries in the European Union remain roughly twice those in the U.S. and 50% above China. Energy prices have also grown more

Please turn to page A9

◆ **EU inflation picks up as services prices rise..... A9**